THE SPAR GROUP LIMITED
(Incorporated in the Republic of South Africa)
(Registration number: 1967/001572/06)
JSE and A2X share code: SPP
ISIN: ZAE000058517
("SPAR" or the "Company" or the "Group")

VOLUNTARY UPDATE ON BOARD APPOINTMENT PROCESS, OPERATIONAL TURNAROUND AND PERFORMANCE TO DATE

In light of recent media coverage and shareholder enquiries, this announcement updates shareholders on the process to appoint a new Chairperson and additional independent non-executive directors (NEDs), the Group's operational turnaround and financial performance to date.

BOARD COMPOSITION AND THE APPOINTMENT PROCESS FOR THE CHAIRPERSON AND NON-EXECUTIVE DIRECTORS

The Nomination Committee has appointed an independent search firm to support the recruitment process for these positions. Candidates are being assessed against the Committee's defined criteria and skills matrix, with particular attention to the retail, remuneration, financial and governance experience the Board requires to implement the Group's turnaround, as well as the importance of maintaining appropriate diversity of skills, experience and demographic representation.

As part of this process, the Board has identified individuals of high calibre whose skills and experience, it believes, could make an invaluable contribution to the business and its turnaround. The Board has also received representations from shareholders and retailer representative structures regarding potential candidates who are being assessed through the same process.

The Board aims to finalise and announce the appointment of the Chairperson and additional NEDs by early November 2026. Any resulting appointments will be made in accordance with regulatory requirements, followed by shareholder election at the next annual general meeting.

The Board remains committed to conducting this process in an independent, rigorous and transparent manner, and will update shareholders further as and when there are material developments.

OPERATIONAL PROGRESS AND THE TURNAROUND PATHWAY

Collaboration between SPAR and its independent retailers continues to improve, with a greater focus on shared operational and commercial priorities. The SPAR wholesaler executives and Guild representatives recently spent two days together in KZN (over 16 and 17 September 2026) in working sessions on priorities for retailers and the wholesaler.

The Group has made progress on the operational priorities reported at H1 FY2026 and is focused on initiatives which underpin and align the retailer focus areas set out at the interim results and form part of one integrated recovery plan rather than separate workstreams. These include merchandising and pricing, marketing effectiveness SPAR2U, retailer technology and profitability. Retailers and the Group exchanged views transparently, worked through practical obstacles and agreed on shared accountability.

Whilst these workstreams are being progressed, the earnings and cash benefits are expected to build progressively through FY2027.

Margin optimisation

- Pricing, range and category optimisation initiatives are under way, with stronger monitoring of key-value items and retailer profitability.
- Promotional disciplines have been tightened, with clear return thresholds and close retailer alignment.
- Improved distribution efficiency, focused on cost-per-case benchmarking, productivity, inbound and outbound service metrics and fleet utilisation.
- Non-performing corporate stores being turned around, closed or disposed of, with a number expected to be exited during calendar 2026.

Improving efficiency

- Cost optimisation initiatives focused primarily on IT, discretionary spend, marketing and logistics, with an emphasis on sustainable net savings and stronger cost discipline.
- Remediation of the KZN distribution centre flooring is complete, and the temporary overflow facility has been exited, eliminating the related incremental lease cost. Both measures form part of broader efficiency initiatives within the region. KZN's recovery remains a priority, with month-on-month improvement in gross margin being observed.
- SAP finance deployment now live and stable in central office and four distribution centres, three of which went live in early August.

Growth initiatives

- SPAR2U, private label and customer-relevance refresh initiatives progressing through defined pilots.
- Refreshed SPAR2U proposition shaped with a retailer advisory group, with a pilot rollout planned for December 2026.
- Private label repositioning focused on route-to-market redesign, SKU rationalisation and promotional effectiveness to improve margin across the value chain.

The Group will continue to work through the Guild and formal governance structures on the commitments arising from this work. The relationship will be strengthened by consistent delivery and improved retailer outcomes, while difficult issues continue to be addressed directly.

Overall progress will be assessed against wholesale growth, operating margin, retailer profitability, service levels, overdue debt, cash generation and leverage. Management expects the financial benefits to build during FY2027, with full execution and embedment likely to extend beyond that.

FINANCIAL PERFORMANCE

FY2026 is expected to underperform FY2025, with the pressure concentrated in Southern Africa, specifically in Groceries & Liquor. Operational improvements have not yet translated into sufficient earnings or cash benefits to offset that pressure. Management's immediate priority is to improve profitability and cash generation in Southern Africa while maintaining appropriate levels of support for retailers.

For the 48 weeks ended 28 August 2026, Group revenue from the sale of merchandise moderated from the interim period with Southern Africa recording modest revenue growth as wholesale volumes and trading remained subdued in a competitive consumer environment. Consumer sentiment and consequently wholesale revenue continued to be under pressure with higher fuel, utility costs and elevated interest rates.

BWG continued to deliver consistent growth in local currency.

Retailer expected credit losses (ECL), specific provisions and write-offs remained elevated in Southern Africa. At H1 FY2026, SPAR disclosed additional provisions in Southern Africa, mainly in the Groceries and Liquor business and this credit pressure continued after the interim period.

The financial information included in this announcement has not been reviewed or reported on by the Group's external auditors. SPAR will provide guidance on the expected EPS and HEPS ranges in compliance with the JSE Listings Requirements once the Board has reasonable certainty, to the extent required.

FUNDING, LENDING PARTNERS AND COVENANTS

Debt reduction, liquidity and covenant management remain key priorities for the Group. Group net debt levels are expected to reduce versus the first half of the year. Debt levels continue to improve with lenders remaining supportive of the Group. Whilst overall debt levels have reduced, elevated ECL provisions and other impacts have increased pressure on earnings in Southern Africa. The Group expects to meet the revised covenant limits as agreed with its lenders. Final net debt, leverage and interest-cover metrics will be reported with the FY2026 annual results.

CLOSING

Management has strengthened the operating plan and execution disciplines but expects the earnings and cash recovery to lag implementation.

The collaboration between the Group and its independent retailers on shared operational and commercial priorities continues to improve, and there is a renewed commitment to strengthening the SPAR system in Southern Africa.

The Group remains focused on disciplined execution of its turnaround priorities and on strengthening the business in a way that supports sustainable long-term value creation for shareholders, retailers, employees and other stakeholders.

Annual results for FY2026 are expected to be released on or about 4 December 2026.

Umhlanga
28 September 2026

Sponsor
The Standard Bank of South Africa Limited